



United States
Attorney's Office
Central District of California



Blood Test Lab Owner Pleads Guilty to Evading Over \$11.2 Million in Federal Taxes by Using Shill to Illegally Collect Medicare Payments



Friday, August 29, 2025

For Immediate Release

U.S. Attorney's Office, Central District of California

LOS ANGELES – A Burbank man has pleaded guilty to evading the payment of more than \$11.2 million in federal taxes by using a shill to illegally collect Medicare reimbursement payments made to his blood-testing company, and to fraudulently obtaining nearly \$100,000 in taxpayer-funded COVID-19 business relief, the Justice Department announced today.

Armen Muradyan, 60, pleaded guilty Thursday to one count of conspiracy to commit health care fraud, one count of wire fraud, and one count of tax evasion.

According to his plea agreement, Muradyan owned and operated a Burbank-based blood testing laboratory called Genex Laboratories Inc. Medicare and bank records show that Medicare paid millions of dollars in reimbursements to Genex for blood testing. The reimbursements were wired to bank accounts in the name of an individual identified in court documents as “L.S.” – Muradyan’s long-time friend to whom Muradyan had offered to pay \$2,000 per month to pretend to be Genex’s owner.

Muradyan told L.S. that he needed him to submit Medicare enrollment papers to Medicare on Genex’s behalf because Medicare had banned Muradyan from submitting claims.

L.S. and Muradyan opened bank accounts for Genex in L.S.’s name, but which Muradyan controlled. L.S. neither owned nor operated Genex and visited the company’s Burbank office to collect his \$2,000 monthly payment and to sometimes sign documents at Muradyan’s direction. Muradyan used the proceeds from the health care fraud conspiracy to pay the mortgage on a property he owned.

For the tax years of 2015 through 2020, Muradyan instructed L.S. to report Genex's financial activity on L.S.'s personal income tax returns using documents that L.S. provided to his own tax preparer. The documents purportedly showed that Genex had minimal net profit or was operating at a loss, meaning the company had little or no income tax liability.

For the same period, Muradyan submitted income tax returns that reported none of Genex's financial activity as his own and that he averaged an income of \$40,000 per year. In fact, Muradyan personally received and used millions of dollars in Medicare reimbursements to support his own expensive lifestyle.

Muradyan also did not file tax returns for the years 2021 through 2023.

In total, Muradyan's unreported federal taxable income was approximately \$23,915,762, resulting in a total federal income tax due and owing by him of approximately \$11,236,357.

In July 2020, Muradyan wired a false and fraudulent application for an Economic Injury Disaster Loan (EIDL) that was funded by federal taxpayers. On the application, Muradyan falsely stated that GenMed employed multiple people and generated \$800,000 in income for the year 2019. In fact, Muradyan knew GenMed employed no one and generated zero income for that year. The U.S. Small Business Administration (SBA) wired \$99,900 to a bank account Muradyan controlled. He then used the money for personal expenses not permitted under the terms of the EIDL. Muradyan admitted he acted with the intent to deceive and cheat the SBA.

United States District Judge John A. Kronstadt scheduled a December 11 sentencing hearing, at which time Muradyan will face a statutory maximum sentence of 20 years in federal prison for the wire fraud count, up to 10 years in federal prison for the health care fraud conspiracy count, and up to five years in federal prison for the tax evasion count. Muradyan remains free on \$2.6 million bond.

IRS Criminal Investigation, the FBI, and the United States Department of Health and Human Services Office of Inspector General investigated this matter.

Assistant United States Attorney Mark Aveis of the Major Frauds Section and Trial Attorney Mahana K. Weidler of the Department of Justice's Tax Division are prosecuting this case.

Anyone with information about allegations of attempted fraud involving COVID-19 can report it by calling the Department of Justice's National Center for Disaster Fraud Hotline at (866) 720-5721 or via the NCDF Web Complaint Form at: <https://www.justice.gov/disaster-fraud/ncdf-disaster-complaint-form>.

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